IN THE NATIONAL COMPANY LAW TRIBUNAL
KOLKATA BENCH
KOLKATA

CP (CAA) NO.101/KB/2018

Coram: Shri Jinan K.R., Hon'ble Member (Judicial)

IN THE MATTER OF:

An application under Section 230 (1) of the Companies Act, 2013 and Rule 15(1) of the Compromises Rules, 2016 and applicable provisions;

And

IN THE MATTER OF:

DHRUVA HOLDINGS PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its Registered Office at 19, British India Street, Kolkata 700 069 in the state of West Bengal, within the aforesaid Jurisdiction.

And

IN THE MATTER OF:

DKM INVESTMENT & TRADING PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its Registered Office at 19, British India Street, Kolkata 700 069, in the state of West Bengal, within the aforesaid Jurisdiction.

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And

IN THE MATTER OF:

DHAMM STEEL SERVICES PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its Registered Office at Onlooker Building, 1st Floor, Room No.7&8, Sir P.M. Road, Fort, Mumbai 400 001, Maharashtra, outside the aforesaid Jurisdiction.

And

IN THE MATTER OF:

DHRUVA HOLDINGS PRIVATE LIMITED
DKM INVESTMENT & TRADING PRIVATE LIMITED

..... Petitioners.

Counsels on Record:

Mr. A.K. Upadhyay, Advocate
Mr. Debanjan Saha, Advocate

Date of pronouncement of the order: 07/03/2018.

ORDER

Per Shri Jinan K.R., Member (J).

1. The object of this petition filed under Section 230(1) of the Companies Act, 2013 and Rule 15(1) Compromises Rules, 2016 is to obtain sanction of the Tribunal to a Scheme of Amalgamation and / or compromise or arrangement whereby and whereunder all properties, investments, rights and powers and all debts, liabilities, duties and obligations comprised in and / or pertaining to and / or belonging to the Dhriva Holdings Private Limited, Petitioner Company Nos. 1 and DKM Investment & Trading Private Limited, No. 2 (Transferor Companies) including all their respective assets and properties moveable and immoveable assets shall stand transferred and / or vested to Dhamm Steel Services Private Limited (Transferee Company) and

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form part of Dhamm Steel Services Private Limited, which is annexed hereto and part hereof are marked with the letter **"A".**

2. Dhruva Holdings Private Limited, Petitioner Co. No.1 was incorporated under the provisions of the Companies Act, 1956 on 05.12.1984, and, is having authorized capital of Rs.3,00,000/- comprising of 3,000 Equity Shares of Rs.100/- each and 2,000 12% Redeemable Cumulative Preference Shares of Rs.100/- each aggregating to a sum of Rs.2,00,000. The issued, subscribed and paid up equity share capital of the Petitioner Company No.1 is Rs.2,63,500/- comprising of 2635 Equity Shares of Rs.100 fully paid up and Rs.1,40,000/- comprising of 12% Redeemable Cumulative Preference Shares of Rs.100/- each.

3. The objects of the Petitioner Company No.1 are investment, hold, sale, purchase of land, buildings, properties, shares, stocks, debentures, bonds and to do business of selling and buying of coal, coke, steel etc.

4. DKM Investment & Trading Private Limited was incorporated on 16.10.1984 and is having authorized capital of the Petitioner Company No.2 is Rs.5,00,000/- comprising of 5,000 Equity Shares of Rs.100/- each. The issued, subscribed and paid up equity share capital of the Petitioner Company No.2 is Rs.4,56,000/- comprising of 4,560 equity shares of Rs.100/- each fully paid up.

5. The objects of the Petitioner No.2 Company is to investment, hold, sell, purchase and deal in land, buildings, properties, shares, stocks, bonds etc.

6. Dhamm Steel Services Private Limited, the Transferee Company was incorporated under the Companies Act, 1956 on 22.02.2000 under the

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name and style of "Dhamm Infotech Private Limited". The name of the Transferee Company was changed to its current name on 24.02.2004. The authorized share capital of the Transferee Company is Rs.30,00,000 comprising of 3,00,000 equity shares of Rs.10/- each.

7. The main objects of the Transferee Company is to carry the business as Importers, Exporters, buyers, sellers of steel, steel strips steel flat and rounds etc.

8. It is stated in the Petition that the proposed Amalgamation will be beneficial to both the Petitioner Companies and their stakeholders. in usual economics of a centralized and a larger company including the reduction in overheads, better and more productive utilization of labour and other resources and reduction in procedural and administrative work.

9. Both the Petitioner Companies, the transferee and their respective shareholders proposed to enter into a Scheme of Amalgamation in terms whereof the Petitioner Company Nos.1 and 2 would merge and / or amalgamate with the Transferee Company herein as embodies in the Scheme of Amalgamation which is annexed with the Petition and marked with letter **"A".** The said Scheme of Amalgamation has duly been approved by the Board of Directors of both the Petitioner Companies, and the Transferee Company at their respective meetings held.

10. By an order of this Tribunal Company Application No.122/KB/2017 passed on 4.19.2017, it was directed as under:

a. Meeting of the members and creditors of both the petitioner companies therein were dispensed with subject to strict compliance of the conditions laid down in the order;

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b. Notices to be served upon the Regional Director – Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, West Bengal, Income Tax Authorities by both the companies and to the Official Liquidator by the petitioner Company No.1;

c. Notices to be served upon creditors of both the petitioner companies as on the date of the order;

d. File Consent Affidavit of all the creditors as on the date of the order of both the Petitioner Companies;

e. File affidavit of compliance; etc.

A copy of this order dated 4th September, 2017 is annexed with the petition and marked with letter **"G".**

11. The petitioner stated in the application that they have complied with the Tribunal's order dated 04.09.2017 and filed an affidavit of compliance, copy of which is annexed with the application and marked with letter **"H".** The Transferee Company is having its office outside the jurisdiction and having its registered office within the jurisdiction of the Ld. Tribunal at Mumbai, the transferee company made and application for final sanction of the Scheme of Amalgamation. By an order dated 21.09.2017 the Hon'ble Tribunal's Mumbai Bench approved the Scheme of Amalgamation. A copy of the order of the Hon'ble Tribunal's Mumbai Bench is annexed with the petiton and marked with letter **"T".**

12. It is stated by the petitioners that Transferee Company have obtained certificate from their Auditors in accordance with the provisions of Section 232(2) of the Companies Act, 2013, a copy of which is annexed with the petition and marked with letter **"J".**

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13. Vide Petition No.CP(CAA) 101/KB/2018, the petitioners pray for the following:

(i) Sanction of the Scheme of Amalgamation;

(ii) The Dhamm Steel Services Private Limited, to issue and allot shares to the shareholders of the Petitioner Companies No.1 and 2 as follows:

To shareholders of Dhruva:

One fully paid up equity shares of Rs.10/- each of the Transferee Company credited as fully paid up, for every fifty equity shares of Rs.100/- each held by him/her/it in Dhruva; and

One fully paid up 12% Redeemable Cumulative Preference Shares of Rs.100/- of the Transferee Company credited as fully paid up, for every 12% Redeemable Cumulative Preference Shares of Rs.100/- each held by him/her/it in Dhruva.

To shareholders of DKM:

One fully paid up equity shares of Rs.10/- each of the Transferee Company credited as fully paid up, for every fifty equity shares of Rs.100/- each held by him/her/it in DKM.

(iii) The Petitioner Companies do within 30 (thirty) days after the receipt of the Certified Copy of the order made herein, cause the same to be delivered to the Registrar of Companies, West Bengal for registration;

(iv) In the event any of the Petitioner Company supply a computerized print out of the said Scheme of Amalgamation in acceptable form in the department, the department concerned is hereby directed to

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append such computerized print outs upon verification to the certified copy of this order without insisting on a handwritten copy thereof;

(v) The Petitioner Company No.1, namely, Dhruva Holdings Private Limited, and Petitioner Company No.2, namely, DKM Investment & Trading Private Limited, be dissolved without winding up and all records of and relating to the Petitioner Company No.1, namely, Dhruva Holdings Private Limited be transferred and Merged with the records of and related to the Petitioner Company No.2, namely, Dhamm Steel Services Private Limited, by the Registrar of Companies, West Bengal.

14. Now, after filing the petition before this Hon'ble Tribunal and perusing the documents submitted by the petitioners it is observed that the Transferee Company is having its office outside the jurisdiction and having its registered office at Mumbai. Vide Order dated 21.09.2017 passed by the Ld. Tribunal, Mumbai Bench approved the Scheme of Amalgamation. A copy of the order dated 21.09.17 is annexed with the petition and marked with letter **"I".**

15. After NCLT Kolkata Bench's order dated 04.09.2017 Transferor Company Nos. 1 and 2 filed an affidavit in the matter of CA No.122(KB)/2017 attaching list of Unsecured Creditors for both the Companies as on 27.09.2017. It is also stated in the affidavit that applicant Companies have not contravened any provisions of the Companies Act, 2013 during the last 3 years and no compounding of any office under Section 621 A of the Companies Act, 1956 or under Section 441 of the Companies Act, 2013. It is also affirmed that there are no prosecution proceedings pending against the Applicant Companies and

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its Directors for violation of laws such as the Companies Act, 1956, ED, EOW, FEMA, SEBI Act and RBI Act before any Court. It is also affirmed that the Companies have not been investigated under Section2 235/237 of the Companies Act, 1956 or inspected under Section 209 A of the Companies Act, 1956. Vide an affidavit submitted on 31.10.2017 of the Transferor Company No.1 and 2 submitted that as on date there are no secured creditors for the first and the second applicant companies.

16. Vide Supplementary Affidavit in CP (CAA) No.101/KB/2018 submitted on January 12, 2018, the Petitioner Companies No.1 and 2 submitted fresh copy of Board Resolution of both the petitioner companies, a certificate issued by Chartered Accountant certifying and disclosing shareholders/ members, a certificate issued by Chartered Accountant certifying and disclosing creditors and copies of the latest financial statement / balance sheets of both the petitioner companies.

As per norms enunciated in Motion II format, it is ordered as follows:

a) The date of hearing of the petition filed jointly by the Petitioner for the sanction of the Scheme is fixed on 2nd May 2018.

b) Notice of hearing of this petition in form NCLT 3A shall be advertised once in English daily "Business Standard" and in Bengali " Aajkal " daily newspaper , not less than 10 days before the aforesaid date fixed for hearing .

c) In addition to the above public notice , the petitioner companies shall serve notice of the petition on the following authorities namely (a) Central government through Regional Director , Eastern Region , Ministry of Corporate Affairs , (b) Registrar Of Companies , West Bengal ,(c)The Income Tax Department of the office having jurisdiction over the

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respective petitioner companies, (d) the Official Liquidator and such other relevant and sect oral regulators/authorities, if applicable , which are likely to be affected by the proposed Scheme by sending the same by hand delivery through special messenger or by registered post or speed post and by e-mail positively within 7 days from the date of this order for filing their representations., if any on the petition . Notice along with the copy of the application and other related documents with PAN Numbers of the Applicant Companies should be served upon the Chief Commissioner of Income Tax Department by Mail and Speed Post or by Messenger and by e-mail positively. Petitioner Companies are also directed to mention their respective PAN Nos everywhere.

d) The notice shall specify that representations, if any should be filed before this Tribunal within 30 days of date of receipt of the notice with a copy of such representations being sent simultaneously to the petitioners and/or their Authorized Representatives. If no such representations is received by the Tribunal within the said period, it shall be presumed that such authorities have no representations to make on the Scheme of Amalgamation.

e) All Petitioner Companies at least 7 days before the date of hearing of the petition shall file and affidavit of service in relation to the paper publication as well as service of notices along with the copy of the notice by speed post / registered post and by e-mail to the Authorities specified above including the Pectoral Regulators.

f) The petitioner Companies shall send notice through e-mail also and file copies of the mails along with an affidavit. The

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notice shall specify that representation, if any should be filed before this Tribunal within 30 days of the date of receipt of the notice with a copy of such representation being sent simultaneously to the petitioners and their advocates, if no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no representation to make on the Scheme of Amalgamation.

17. Such notices shall be sent under Section 230(5) of the Companies Act, 2013 in Form No.CAA.3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 with necessary variations incorporating the directions therein.

18. The Company Petition No C.P (CAA)NO.101/KB/2018 is listed for further hearing on **2nd May 2018.**

19. Urgent Photostat copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

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(Jinan K.R)
Member (J)

Signed on this, Seventh day of March, 2018.

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